

## 25STCV03137 25STCV03137

County: los-angeles

Division: Civil Law and Motion

Department: 511

Hearing date: 2026-09-15

Source URL:

[https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept\\_date=LAM%2C511%2C09%2F15%2F2026](https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C511%2C09%2F15%2F2026)

Source SHA-256: f1146c6ff3d3d2ef52f9c164e3bb7f72708476e6ad68a353ed61882d6ae357bc

Case Number: 25STCV03137 Hearing Date: September 15, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: September

15, 2026

CASE NAME: CCT-Steller,

LLC v. Four Light Investments, LLC, et al.

CASE NO.: 25STCV03137

DEMURRER

TO CROSS-COMPLAINT WITH MOTION TO STRIKE

MOVING PARTY: Plaintiff/Cross-Defendants

CCT-Steller, LLC and Mishel Mikail

RESPONDING PARTY(S): Defendants/Cross-Complainants

Four Light Investments, LLC; Jeffrey B. Light; and Francine J. Light

REQUESTED RELIEF:

1. Demurrer

to the first, second, third, fourth, and fifth causes of action for failing to state sufficient facts to constitute a cause of action;

2. Motion

to strike the fourth cause of action, the fifth cause of action, and the prayer requesting punitive damages.

TENTATIVE RULING:

1. Demurrer

to the first, second, and third causes of action are OVERRULED;

2. Demurrer

to the fourth cause of action is SUSTAINED with leave to amend as to Four Light and SUSTAINED without leave to amend as to Jeffrey B. Light and Francine J. Light;

3. Demurrer

to the fifth cause of action is SUSTAINED without leave to amend;

4. Motion

to strike is DENIED without prejudice as moot;

5. Cross-Complainants

to file an amended cross-complaint, if any, within 21 days of this ruling.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On February 4, 2025, Plaintiff CCT-Steller, LLC (Plaintiff) filed a Complaint against Defendants Four Light Investments, LLC, Jeffrey B. Light, and Francine J. Light (Defendants) with seven causes of action for: (1) Breach of Contract; (2) Breach of Contract; (3) Specific Performance; (4) Breach of the Covenant of Good Faith and Fair Dealing; (5) Fraud; (6) Constructive Trust; and (7) Declaratory Relief.

According to the Complaint, Plaintiff and Defendants contracted to redevelop property located at 8468 Warner Drive, Culver City, CA 90231 (the Subject Property) from a warehouse to a creative office space. Plaintiff alleges that Defendants breached the contracts, impeded their ability to perform, and wrongfully denied bargained for benefits.

On June 2, 2025, Defendants filed a demurrer with

motion to strike. After taking the matter under submission, the court OVERRULED the demurrers to the first, second, and fourth causes of action; SUSTAINED the demurrers to the fifth and sixth causes of action with leave to amend; SUSTAINED the demurrers to the third and seventh causes of action without leave to amend; and GRANTED the motion to strike with leave to amend.

On November 20, 2025, Plaintiffs filed the operative first amended complaint (FAC).

On January 23, 2026, Defendants filed a demurrer with motion to strike. After oral argument, the court OVERRULED the demurrer and DENIED the motion to strike.

On April 14, 2026, Defendants filed an answer and a cross-complaint against Plaintiff/Cross-Defendant CCT-Steller, LLC and Cross-Defendant Mishel Mikail (collectively Plaintiff/Cross-Defendants) with causes of action for: (1) breach of development agreement; (2) declaratory relief re: grant agreement; (3) breach of the implied duty of good faith and fair dealing; (4) fraud; and (5) financial elder abuse.

According to the cross-complaint, Cross-Defendants induced Cross-Complainants into a development agreement. Cross-Defendants then allegedly repeatedly breached the agreement by mishandling project funds, failing to provide required documentation, excluding one of the managers from meetings, overcharging through affiliated entities, secretly negotiating an unfavorable lease, and failing to complete improvements by the contractual deadline. Cross-Complainants further allege that Cross-Defendant Mikail made unauthorized plan changes, misrepresented the feasibility of subdividing a portion of the project, failed to obtain a required certificate of occupancy, and left substantial work defective or incomplete, all while attempting to secure a 50% membership interest under the grant agreement.

On June 22, 2026, Plaintiff/Cross-Defendants filed the instant demurrer with motion to strike. On September 1, 2026, Defendants/Cross-Complainants filed oppositions. On September 8, 2026, Cross-Defendants filed replies.

LEGAL STANDARD:

Meet and Confer

Prior to filing a demurrer, the demurring party is required to satisfy their meet and confer obligations pursuant to Code of Civ. Proc. §430.41, and demonstrate that they so satisfied their meet and confer obligation by submitting a declaration pursuant to Code of Civ. Proc. §430.41(a)(2) & (3). The meet and confer requirement also applies to motions to strike. (CCP § 435.5.)

Here, the parties met and conferred via telephone after Plaintiff/Cross-Defendants sent a meet and confer email. (Declaration of Nilou A. Zakariaie ¶¶ 3-4.) This requirement is therefore met.

Demurrer –  
Sufficiency of Facts

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. .... The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn, 147 Cal.App.4th at 747.)

When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) Courts also consider exhibits attached to the complaint and incorporated by reference. (See Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94 (Frantz).)

Motion to Strike

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (CCP § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Id., § 436(b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Id. § 437.) “When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.” (Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768.)

#### ANALYSIS:

Request for  
Judicial Notice

The court GRANTS Defendants/Cross-Complainants request for judicial notice of Exhibit A [final ruling on submitted matter dated October 28, 2025] and Exhibit B [ruling on demurrer dated March 24, 2026]. (Evid. Code § 452(c), (d).)

Demurrer

First Cause of  
Action: Breach of Development Agreement [Four Light against all  
Cross-Defendants]

Cross-Defendants contend this claim fails to allege  
Cross-Complainants' own performance or an excuse for non-performance with  
facts.

Cross-Complainants argue they sufficiently plead this claim  
since they may generally allege their performance or excuse for nonperformance.

Cross-Defendants reply that Cross-Complainants must  
specifically allege facts of excuse and prevention from performance since that  
it what they alleged – not that they performed.

“To establish a cause of action for breach of contract, the plaintiff must plead and prove (1) the existence of the contract, (2) the plaintiff's performance or excuse for nonperformance, (3) the defendant's breach, and (4) resulting damages to the plaintiff. [Citation.]” (Maxwell v. Dolezal (2014) 231 Cal.App.4th 93, 97-98.) “A written contract may be pleaded either by its terms – set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference – or by its legal effect. [Citation.] In order to plead a contract by its legal effect, plaintiff must ‘allege the substance of its relevant terms.’” (Heritage Pacific Financial, LLC v. Monroy (2013) 215 Cal.App.4th 972, 993.);

The only element at issue is Four Light's performance or excuse for nonperformance. A plaintiff's performance is excused if the other party prevented it. (Civ. Code § 1511(1); City of Hollister v. Monterey Ins. Co. (2008) 165 Cal.App.4th 455, 490-419.) Substantial performance may be sufficient. (Murray's Iron Works, Inc. v. Boyce (2008) 158 Cal.App.4th 1279, 1291-1292 [discussing evidence of substantial performance of contract by general contractor.]

“Where contractual liability depends upon the satisfaction or performance of one or more conditions precedent, the allegation of such satisfaction or performance is an essential part of the cause of action.” (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1389 (Careau).) “This requirement can be satisfied by allegations in general terms.” (Ibid.) However, there are two “important caveats” to this rule. (Ibid.) The first applies “where the condition is an event, as distinguished from an act to be performed by the plaintiff” which requires “a specific allegation of the happening of the condition. . . .” (Ibid.) The second applies when “specific facts” alleged by the plaintiff “do not constitute due performance.” (Id. at p. 1389-1390.)

Four Light alleges it performed “in accordance with the terms and conditions of its contractual obligations under the Development Agreement, except to the extent that Four Light was excused or prevented from doing so.” (Cross-Compl. ¶ 65.) On its face, this satisfies the general pleading requirements articulated in Careau. In fact, Cross-Defendants did not put forth any conditions precedent that were supposed to occur.[1]

Accordingly, the court **OVERRULES** the demurrer to the first cause of action.

Second Cause of

Action: Declaratory Relief re Grant Agreement [All against CCT-Steller]

Cross-Defendants contend this claim fails because there is no ongoing controversy – only past breaches. They add this claim is duplicative of other causes of action.

Cross-Complainants argue they plead a forward-looking dispute over ownership of a 50% membership interest in Four Light concerning the Grant Agreement which is not separately engaged in a breach of contract claim.

Cross-Defendants reply that the Grant Agreement, on which Cross-Complainants rely, is alleged by them to already have terminated. Therefore, there is no agreement for the court to determine rights under.

Any person claiming rights under a contract (oral or written) or under a written instrument other than a will or trust, or with respect to property, may bring an action for a declaration of the person's rights or duties with respect to another. (CCP § 1060.) A declaratory relief complaint must specifically allege that an actual, present controversy exists, and must state the facts of the respective claims concerning the disputed subject matter. (City of Cotati v. Cashman (2002) 29 Cal.4th 69, 79; Connerly v. Schwarzenegger (2007)

146 Cal.App.4th 739, 746.) A sufficient complaint: (1) sets forth facts showing the existence of an actual controversy relating to the parties' legal rights and duties, and (2) requests the court to adjudge these rights and duties. (Ludgate Ins. Co. v. Lockheed Martin Corp. (2000) 82 Cal.App.4th 592, 606; Qualified Patients Ass'n v. City of Anaheim (2010) 187 Cal.App.4th 734, 751; see also Travers v. Loudon (1967) 254 Cal.App.2d 926, 931-32 (Travers) [commenting that declaratory relief may be appropriate for parties with a continuing relationship].) A declaratory relief claim should not be used to determine issues that are already engaged by other causes of action. (Hood v. Superior Court (1995) 33 Cal.App.4th 319, 324.)

Here, Cross-Complainants sufficiently stated a claim for declaratory relief. First, it is not duplicative of other claims because there

is no breach of contract claim concerning the Grant Agreement.[2]

Second, there is an ongoing controversy even if the Grant Agreement is allegedly terminated. It specifically alleges that the Grant Agreement depends on the Development Agreement and since Four Light terminated the Default Agreement, the Grant Agreement likewise has terminated. (Cross-Compl. ¶¶ 60-63, 74-75.) They allege the controversy is whether CCT-Steller is still entitled to receive membership interests. (Cross-Compl. ¶¶ 77-78.) That they terminated the Grant Agreement, or contend it is terminated, is their contradictory position. It is not an allegation of a stale dispute.

Accordingly, the court **OVERRULES** the demurrer to the second cause of action.

Third Cause of

Action: Breach of the Implied Duty of Good Faith and Fair Dealing [Four Light against all Cross-Defendants]

Cross-Defendants contend this claim fails because the only alleged conduct consists of the alleged breaches rather than separate conduct that frustrated the spirit of the bargain.

Cross-Complainants argue that they alleged independent bad faith conduct by Cross-Defendants to frustrate the bargain's benefits not a mere restatement of failure to perform express terms.

Cross-Defendants reply that there is no independent conduct aside from the breach at issue in this claim.

Every contract contains an implied covenant of good faith and fair dealing that neither party will do anything to interfere with the other party's right to receive the benefits of the agreement. (Howard v. American Nat'l Fire Ins. Co. (2010) 187 Cal.App.4th 498, 528; see also Careau, supra, 222 Cal.App.3d at p. 1393.)<sup>2</sup>

<sup>2</sup>

The elements of a claim for breach of implied covenant of good faith and fair dealing are: (1) a contractual relationship; (2) plaintiff fulfilled their contractual obligations; (3) any conditions precedent to defendant's performance occurred; (4) defendant unfairly interfered with plaintiff's right to receive the benefits of the contract; and (5) plaintiff

was harmed by defendant's conduct. (Waller v. Truck Ins. Exchange, Inc. (1995) 11 Cal.4th 1, 36.)

Here, this claim is sufficiently stated. Notably, there are allegations of "unfair dealing rather than mistaken judgment" that, while also constituting breaches of the Development Agreement, satisfy the pleading requirements for this claim. (Careau, supra, 222 Cal.App.3d at p. 1394-1395.) For instance, Cross-Complainants allege that Cross-Defendants agreed to deal at arms-length with third parties and serve the best interests of Four Light in dealing with third parties. (Cross-Compl. ¶ 24.) However, Cross-Defendants used third parties under their ownership or control in order to overcharge Four Light and were evasive when asked to provide cost breakdowns. (Cross-Compl. ¶¶ 25-26.) As another example, Mikail allegedly negotiated a long-term lease with a third party without authority or Four Light's knowledge or consent. (Cross-Compl. ¶¶ 27-32.) This conduct shows "a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement." (Careau, supra, 222 Cal.App.3d at p. 1395.) This is more than a simple restatement of contract breach.

Accordingly, the court **OVERRULES** the demurrer to the third cause of action.

Fourth Cause of  
Action: Fraud [Against All]

Cross-Defendants contend this claim fails to state this claim with the requisite specificity. They add the claim lacks allegations showing actual and justifiable reliance or contemporaneous intent not to perform. Finally, they contend the claim is duplicative of the breach of contract claim and the individuals lack standing to bring the claim.

Cross-Complainants argue that they sufficiently stated this claim that Cross-Defendants induced them to enter into a contract by identifying the speaker, the recipient, the timing, the means, and the content. They also argue they plead actual and justifiable reliance as well as contemporaneous fraudulent intent. Next, Cross-Complainants argue the claim is not barred by the economic loss rule and they have standing because they committed their own capital and Cross-Defendants alleged in their underlying complaint that the Lights are alter egos of Four Light.

Cross-Defendants reply that the allegations describe the relationship, not misrepresentation, the only intent not to perform comes from the subsequent breaches, the alleged promises are contract terms which is not an independent misrepresentation, and the individual Lights do not have standing.

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.)

Fraud in the inducement is "a misrepresentation involving a contract in which the promisor knows what he or she is signing but consent is induced by fraud." (McClain v. Octagon Plaza, LLC (2008) 159 Cal.App.4th 784, 792 [internal quotations omitted].)

"In California, fraud must be pled specifically; general and conclusory allegations do not suffice...this particularity requirements necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tenders." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645; Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1469; Perlas v. GMAC Mort., LLC (2010) 187 Cal.App.4th 429, 434 [requiring plaintiffs who claim fraud against a corporation to allege the names of the persons who made the misrepresentations, their authority to speak for the corporation, to whom they spoke, what they said or wrote, and when it was said or written.]) Fraud allegations need not be liberally construed, general pleading of the legal conclusion of fraud is insufficient, and every element of the cause of action for fraud must be alleged fully, factually and specifically. (Wilhelm v. Pray, Price, Williams & Russell (1986) 186 Cal. App. 3d 1324, 1331.) However, "[p]urely evidentiary matters – usually circumstantial evidence or admissions showing lack of that intention [to perform] – should not be pleaded." [3] (Beckwith v. Dahl (2012) 205 Cal.App.4th 1039, 1060 (Beckwith).)

After reviewing the cross-complaint, in full and in context, Cross-Complainants insufficiently stated a fraud claim. To start, the alleged

misrepresentations are merely promises to perform under the Development Agreement. As plead, this appears as a mere restatement of the breach of contract claim. What is more, there are insufficient allegations of knowledge of falsity. (Cross-Compl. ¶ 90 [concluding no intention to perform at the time made, at the time of contracting and/or subsequent thereto]; ¶ 91 [alleging on information and belief that Cross-Defendants had already formulated a plan not to perform].) Finally, there are insufficient facts demonstrating that the individual Lights have standing. Throughout the Cross-Complaint, they allege that Four Light owns the property, Four Light entered the Development Agreement, Four Light would make payments, Four Light was coerced into making additional payments, and Cross-Defendants acted against Four Light's best interests. (Cross-Compl. ¶¶ 10, 13, 15, 18, 19, 26.) There are no allegations as to how the Lights in their individual, rather than representative capacities as members of Four Light, were defrauded.

"A fraudulent representation is an antecedent statement made as an inducement to the contract, but is not a part or element of the contract." (A.A. Baxter Corp. v. Colt Industries, Inc. (1970) 10 Cal.App.3d 133, 153-154.)

Accordingly, the court SUSTAINS the demurrer on the fourth cause of action.

Fifth Cause of

Action: Financial Elder Abuse [Jeffrey & Francine Light against all Cross-Defendants]

Cross-Defendants contend this claim fails because the Lights lack standing since Four Light paid funds, not them. Additionally, Cross-Defendants argue this is another recasting of the breach of contract claim plead in conclusory terms (especially allegations of undue influence).

Cross-Complainants argue they have standing to bring this claim, the commercial setting does not immunize Cross-Defendants' predatory conduct, and they sufficiently alleged wrongful use and undue influence.

Cross-Defendants reply that the Lights cannot recover for alleged property rights held by Four Light, that Four Light is not a representative under the Welfare and Institutions Code, the alleged conduct is contractual performance, and the conclusory language of wrongful use and undue

influence insufficiently state the claim.

The necessary elements of a cause of action

for financial abuse of an elder are: (1) that the defendant obtained the elder's property; (2) that the elder was 65 years of age or older at the time of the conduct; (3) that the defendant took the property for a wrongful use, such as fraud; (4) that the elder was harmed; and (5) that the defendant's conduct was a substantial factor in causing the elder's harm. (See Welf. & Inst. Code, § 15610.30 (a); see also *Stebley v. Litton Loan Servicing, LLP* (2011) 202 Cal.App.4th 522, 527-528 (Stebley).)

An elder means "any person residing in this state, 65 years of age or older." (Welf. & Inst. Code § 15610.27; *Hilliard v. Harbour* (2017) 12 Cal.App.5th 1006, 1011 (Hilliard).)

There is a "distinction between derivative and individual actions [which] applies to limited liability companies as well as corporations," "in determining whether an individual action as opposed to a derivative action lies a court looks at the gravamen of the wrong alleged in the pleadings," and "a shareholder may not recover individually for injury to the corporation . . . ." (Hilliard, supra, 12 Cal.App.5th at p. 1013 [internal quotations omitted].) "[O]ne who has suffered injury both as an owner of a corporate entity and in an individual capacity is entitled to pursue remedies in both capacities." (Ibid. [citing *Denevi v. LGCC, LLC* (2004) 121 Cal.App.4th 1211, 1221].)

In Hilliard, the

Court of Appeal concluded the individual elder did not have standing to pursue a financial elder abuse claim. There, the elder owned a controlling interest in an LLC which took out loans. (Hilliard, supra, 12 Cal.App.5th at p. 1008.) The defendant banks sold the loan to a third party who commenced a civil action, and obtained a judgment in their favor, for breach of one of the agreements. (Id. at p. 1009-1010.) The Court reasoned that the conduct alleged in this action was directed to the already-existing LLC that the elder controlled but not to the elder's separate property. (Id. at p. 1015.) Critically, the only connection was the elder's shareholder status so it was not a personal claim. (Ibid.) The Court refused to extend a public policy protection simply because of an LLC member's status as an elder. (Id. at p. 1015-1016.)

So, too, here. As discussed above, the only interests identified as harmed are Four Light's. Four Light owns the property.

(Cross-Compl. ¶ 10.) Four Light entered into the contracts. (Cross-Compl. ¶¶ 14, 15.) Four Light paid to \$4 million for Improvements. (Cross-Compl. ¶ 19.) They have one allegation that they were induced to inject millions of dollars of capital into Four Light to fund the Improvements, but this allegation is qualified that it was part of the Development Agreement. (Cross-Compl. ¶ 102.) Like in Hilliard, the only identified interest the Lights have is as members of Four Light. (Cross-Compl. ¶ 10.) The purported bad acts are alleged in the context of performance (or breach thereof) of the Development Agreement: excluding Francine Light from meetings about Improvements, hostility when discussing paying bills “in complete disregard of Four Light’s contractual rights,” and failing to forward refund payments “that were for Four Light.” (Cross-Compl. ¶ 104.) In sum, these injuries are to Four Light – not to the Lights individually. As such, they lack standing to pursue this claim.

Accordingly, the court SUSTAINS the demurrer to the fifth cause of action.

#### Motion to Strike

In light of the ruling on the demurrer, the motion to strike is DENIED as moot.

#### Leave to Amend

Leave to amend should be liberally granted if there is a reasonable possibility an amendment could cure the defect. (County of Santa Clara v. Superior Court (2022) 77 Cal.App.5th 1018, 1035.) The plaintiff has the burden of demonstrating that leave to amend should be granted, and that the defects can be cured by amendment. (“Plaintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Here, Cross-Complainants seek leave to amend. Leave to amend is warranted, in part. The fraud claim is reasonably capable of curing as to Four Light. It is not reasonably capable of curing as to the Lights in their individual capacities. Additionally, the financial elder abuse claim is not reasonably capable of curing. Therefore, leave to amend is warranted only for Four Light as to the fraud claim.

Accordingly, leave to amend is GRANTED, in part.

CONCLUSION:

For

the foregoing reasons, the Court decides the pending motion as follows:

1. Demurrer

to the first, second, and third causes of action are OVERRULED;

2. Demurrer

to the fourth cause of action is SUSTAINED with leave to amend as to Four Light and SUSTAINED without leave to amend as to Jeffrey B. Light and Francine J. Light;

3. Demurrer

to the fifth cause of action is SUSTAINED without leave to amend;

4. Motion

to strike is DENIED without prejudice as moot;

5. Cross-Complainants

to file an amended cross-complaint, if any, within 21 days of this ruling.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: September 15, 2026 \_\_\_\_\_ Upinder  
S. Kalra

Judge  
of the Superior Court

[1]

At any rate, it does not appear on the face of the cross-complaint that the Careau caveats would apply. There is no specific event triggering the first caveat. There are also no specific allegations contradicting the general allegation. Indeed, Four Light's performance consisted of paying costs (Cross-Compl., Exhibit A, Item 2.2),

opening “a designated bank account . . . for the purpose of carrying on the development of Improvements” (Id. at Item 2.3), depositing \$500,000 into this account (Ibid.), make additional contributions into the account consistent with the project budget (Ibid), repayment of construction cost overruns provided Developer is not in breach or default (Id. at Item 2.5), handle separate Owner liens (Id. at Item 2.9.2), not amend Plans and Specifications or Project Contracts without Developer’s prior written approval (Id. at Item 2.12), pay a development fee to Developer provided they are not in material breach or default (Id. at Item 3), and obtain insurance (Id. at Item 12). This is not contradicted by other allegations in the cross-complaint.

[2]

This differs significantly from the underlying original complaint which did have such a claim which essentially requested the same relief as the declaratory relief claim.

[3]

In Beckwith, the Court found that the plaintiff had sufficiently plead his claim for fraud by false promise because he alleged “(1) who made the promise, (2) to whom the promise was made, (3) where and when the promise was made, (4) by what means the promise was made, and (5) that the promise was made with no intention of performance.” (Beckwith, supra, 205 Cal.App.4th at p. 1061.) The Court held that the allegation of no intention to perform (the fifth element) could be conclusory at the pleading stage. (Id. at 1060-1061.)